HDI rank has not moved very significantly. A possible *reason* could be that some other countries may have registered faster improvement in these indices. India, therefore, needs to benchmark her achievements (on various fronts) not only in absolute terms but also in relation to other countries *(Economic Survey 2011-12, pp. 301-303).*

3. **Exports and External Demand:** The process of globalization has been marked by a rising share of exports (as also imports) that reached 27.9 per cent for the world as a whole in 2010, with some countries showing much higher dependence of exports. The Database of the World Bank show that the so called *East Asian Miracle Economies* was that an export-led, investment-fuelled strategy propelled growth and helped them acquire manufacturing capabilities. This strategy was supported by a favourable exchange rate, cheap credit, and relatively low wages which helped to gain competitive advantage. Global demand for goods, particularly in the advanced markets, lent support to this growth strategy. As a result, these economies moved up the value chain in manufacturing. This leads to the question of how far export can be a driver of growth for India at this point of time – we may see it in **three**[18] steps:

   (i) Due to slowdown in advanced economies, the prospect of their growth fuelling demand for imports (i.e. exports from other countries), seems somewhat bleak at this juncture.

   (ii) The large build-up of capacity in some countries (including China) suggests that they *might* act as barriers to new entrants for some time.

   (iii) The costs of energy are rising and there are growing concerns about climate change.

   In this regard, India's export (of goods and services) to GDP ratio increased from 6.2 per cent in 1990 to 21.5 per cent in 2010. Yet, India accounts for only **1.5** per cent of world exports. India's exports are also evenly balanced between merchandise and *services.* Moreover, the change in direction of exports suggests that India has been diversifying the destination of its exports away from traditional